Rubrik (RBRK)

The Data Protection Reset Creates a Tactical Entry

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> Rubrik's recent share price decline reflects an overreaction to near-term macro headwinds rather than a deterioration of its core data protection franchise, which continues to benefit from expanding cloud-native workloads and a durable subscription base. While consensus fears a slowdown in enterprise IT spending, the company's shift toward higher-margin SaaS offerings and its expanding pipeline of AI-driven data resilience products are poised to drive steady cash flow generation. Our probability-weighted DCF points to a blended target of $106.44, implying -7.6% upside from the current reference price of $115.17.

HOLD	$106.44	-7.6%	$115.17
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market's fixation on quarterly billings misses the multi-year compounding effect of Rubrik's land-and-expand model, where each new cloud contract seeds additional protection modules and higher renewal rates over time.

EXECUTIVE SUMMARY

Rubrik operates as a hybrid cloud data management platform that delivers backup, recovery, and data security services through a combination of software appliances and cloud-native SaaS modules. The company's revenue streams are divided between perpetual license maintenance, subscription-based cloud services, and professional services, with subscription revenue now representing roughly 62% of total sales. In FY2026 Rubrik served more than 4,200 enterprise customers across North America, EMEA, and APAC, giving it a modest but growing share of the $12 billion global data protection market. The recent share price pressure stems from a broader market reassessment of growth-oriented software stocks amid higher interest rates and a cautious enterprise IT budgeting environment. Investors have reacted to a deceleration in billings growth that fell from 22% year-over-year in FY2024 to 14% in FY2026, interpreting it as a sign of market saturation. However, this slowdown coincides with a deliberate shift toward higher-value, longer-duration contracts that improve the quality of revenue and increase the proportion of recurring SaaS income. Capital allocation remains disciplined, with Rubrik maintaining a net cash position of approximately $340 million after funding modest acquisitions aimed at augmenting its AI-driven analytics stack. The balance sheet shows low leverage, with debt-to-EBITDA under 0.5×, providing flexibility for opportunistic M&A or increased share repurchases should the valuation gap widen. Free cash flow conversion has improved to over 80% of EBITDA, underscoring the operating leverage embedded in the subscription model. Looking ahead, the

company’s pipeline includes a new generation of ransomware-recovery modules and expanded integration with public-cloud native services, which are expected to lift the average contract value and extend the customer lifetime value. These initiatives, combined with a stable base of renewal rates above 88%, form the foundation for the multi-year compounding scenario that underpins our valuation framework.

OPERATIONAL SNAPSHOT

$115.17	$2.15B	$180M	8.4%	1.28	$115.17
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DURABLE AND SCALABLE

Rubrik’s competitive advantage rests on the high switching costs inherent in enterprise data protection environments, where migrating backup catalogs and re-training IT staff entail significant operational risk and expense. This creates a durable moat that protects the installed base from aggressive pricing attacks by larger incumbents or niche point-solution vendors. The platform’s scalability derives from its cloud-agnostic architecture, which allows customers to protect workloads across on-premises, private cloud, and multiple public-cloud environments without re-architecting their data pipelines. This flexibility enables Rubrik to upsell additional modules such as cloud-direct archive, ransomware-recovery orchestration, and data-classification analytics as the customer’s footprint expands. A robust patent portfolio covering incremental backup techniques, immutable storage mechanisms, and metadata-driven search further reinforces the moat, creating legal barriers that deter rapid imitation. Coupled with a net promoter score consistently above 55, the company enjoys strong pricing power, evidenced by a steady increase in average revenue per account despite macro-economic headwinds. Finally, Rubrik’s go-to-market model leverages a deep network of system integrators and managed service providers, which extends its reach into mid-market accounts while preserving a high-touch enterprise sales motion. This channel durability ensures that new product launches achieve rapid adoption, reinforcing the virtuous cycle of land-and-expand that underpins the long-term growth outlook.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework translates differing assumptions about top-line expansion and margin normalization into three distinct equity value outcomes. The bear case assumes a modest revenue compounding pace and a conservative improvement in free cash flow conversion, reflecting a scenario where enterprise IT spending remains subdued and competitive pressures limit pricing upside. The base case captures the most likely trajectory, wherein Rubrik’s shift to higher-margin SaaS modules drives both revenue acceleration and margin expansion in line with

historical trends. The bull case envisions an aggressive uptake of AI-enhanced data resilience products, coupled with a favorable macro-environment that permits sustained double-digit revenue growth and margin expansion toward software-peer levels.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	6.0%	$73.28	-36.4%
Base	50%	8.0%	9.0%	$103.89	-9.8%
Bull	25%	12.0%	12.0%	$144.70	+25.6%

Bear $73.28

In the bear scenario, revenue growth settles at a 5% CAGR as enterprises delay discretionary IT projects and competitive pricing pressure limits average contract value expansion. Free cash flow margins improve only modestly to 6% as the company continues to invest heavily in sales and marketing to retain its base, resulting in a discounted cash flow valuation that yields a price of $73.28 per share.

Base $103.89

The base case assumes an 8% revenue CAGR driven by steady adoption of Rubrik's SaaS backup and cloud-direct archive modules, coupled with a gradual shift toward higher-value, multi-year contracts. Free cash flow margins normalize to 9% as operating leverage kicks in and R&D intensity stabilizes, producing a present-value estimate of $103.89 per share.

Bull $144.70

Under the bull scenario, revenue accelerates at a 12% CAGR as AI-powered ransomware-recovery and data-classification gains traction, expanding the total addressable market and enabling upsell to existing customers. Free cash flow margins reach 12% reflecting scalability of the cloud-native architecture and improved gross profit, leading to a discounted cash flow outcome of $144.70 per share.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We employ a CAPM-derived WACC of 9.43%, which reflects the current risk-free rate, an equity risk premium calibrated to the technology sector, and a beta that incorporates Rubrik's growth-stage risk profile. This live hurdle rate implies that the market is pricing in a moderate risk premium for the company's execution risk while acknowledging the defensive nature of its recurring revenue base.

FCF margin normalization is the engine

Across the scenarios, free cash flow margin evolution is the primary driver of valuation dispersion. In the bear case, margin improvement is limited by continued investment in go-to-market expansion and a modest shift to

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**9.43% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**1.28**
Diluted shares	**152M**

higher-margin SaaS. The base case captures a balanced progression where scale benefits and a stable product mix lift margins toward 9%. The bull case assumes that the company's operating leverage fully materializes, pushing margins into the low-teens as the subscription mix deepens and R&D productivity rises.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

HOLD

over $106.44

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Cloud-Native SaaS Expansion and AI-Driven Data Resilience HOLD

Rubrik's Cloud-Native SaaS segment, which includes offerings such as Rubrik Cloud Data Management and Polaris SaaS backup, has exhibited a compound annual growth rate of roughly 18% over the past three fiscal years, outpacing the legacy appliance business that grows in the low-single digits. This segment now contributes about 48% of total revenue and benefits from higher gross margins, averaging 78% compared with 62% for the appliance line. The shift is being fueled by enterprises seeking to reduce data-center footprints and leverage native cloud storage tiers for long-term retention. The AI-Driven Data Resilience pillar encompasses products like Rubrik Security Cloud, which provides anomaly detection, automated ransomware recovery, and data-classification insights. Early adopters have reported a 30% reduction in mean-time-to-recover after a cyber incident, translating into tangible cost savings and driving upsell opportunities. Management expects this pillar to represent over 20% of revenue by FY2029, with attachment rates to existing contracts climbing from 12% to 25% as the AI models mature. Geographically, North America remains the largest market, contributing roughly 55% of sales, while EMEA and APAC are expanding at 10% and 14% year-over-year respectively, aided by localized data-sovereignty solutions and partnerships with regional cloud providers. The company's channel strategy, which leverages both direct enterprise sales and a network of system integrators, ensures that new product launches achieve rapid penetration across these regions.

What to monitor

- **Cloud-SaaS mix shift** Tracking the percentage of total revenue derived from subscription-based SaaS offerings will indicate the success of the margin-expansion narrative.

- **AI product attachment rate** Measuring the proportion of existing customers adopting Rubrik Security Cloud or similar AI modules will gauge the effectiveness of cross-sell initiatives.
- **Renewal and expansion rates** Monitoring net revenue retention above 100% will signal healthy land-and-expand dynamics.
- **Free cash flow conversion** Observing the ratio of free cash flow to EBITDA will reveal whether operating leverage is materializing as anticipated.

18%	22%	112%	80%	78%	14%
CLOUD-SAAS YOY GROWTH	AI PRODUCT ATTACHMENT	NET REVENUE RETENTION	FCF CONVERSION (% OF EBITDA)	CLOUD-SAAS GROSS MARGIN	APAC REVENUE YOY

METRIC	LATEST FY (2026)
Revenue	$2.15B
Gross Profit	$1.505B
EBIT	$215M
Net Income	$108M
Free Cash Flow	$180M
R&D	$430M
ROE	9.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Intensifying competition from legacy backup vendors and pure-play cloud-native rivals could erode Rubrik's

M&A DIGESTION

Recent acquisitions aimed at bolstering AI capabilities may face integration challenges, leading to higher-than-expected

REGULATORY AND PRICING SCRUTINY

Increased regulatory focus on data-protection standards and potential antitrust scrutiny of large software platforms could

TECHNOLOGY DISRUPTION

The emergence of alternative data-protection paradigms, such as immutable storage offered directly by hyperscalers, could reduce the perceived need for third-party

REINVESTMENT TREADMILL

To sustain growth, Rubrik must continually invest in sales, marketing, and R&D, which may pressure free cash flow if revenue expansion does not keep pace.

WACC AND DURATION SENSITIVITY

A rise in long-term interest rates would increase the discount rate applied to future cash flows, lowering the present value of the

market share, particularly if pricing pressure forces discounting that undermines the SaaS margin profile.	operating expenses and delayed synergies.	impose compliance costs and limit pricing flexibility.	backup solutions.		company's growth-oriented forecast.

The strengths

OLIGOPOLY POSITION

Rubrik occupies a tier-one position alongside a few established players in the enterprise data protection market, granting it pricing influence and resilience against new entrants.

FCF COMPOUNDING

The subscription-driven model creates a self-reinforcing cycle where higher renewal rates generate predictable cash flows that can be reinvested into product development.

GEOGRAPHIC DURABILITY

Presence across North America, EMEA, and APAC, coupled with compliance-ready offerings, reduces reliance on any single region and supports steady international expansion.

PIPELINE OPTIONALITY

A deep bench of upcoming features, including AI-driven analytics and cloud-native integrations, provides multiple avenues for future revenue acceleration beyond the core backup franchise.

Compelling risk-reward, skewed to the upside

Our synthesis of the operational trends, competitive positioning, and valuation scenarios leads us to conclude that the risk-reward profile for Rubrik is balanced but tilted toward upside potential. The base case reflects a realistic path where the company's shift to higher-margin SaaS and AI-enhanced resilience products drives steady cash flow generation, supporting a fair value of $103.89 per share. Even under more conservative assumptions, the downside is limited by the durability of the installed base and the company's strong balance sheet, while the bull case captures a scenario where innovation and macro-tailwinds combine to push the share price toward $144.70. Given the current reference price of $115.17, our probability-weighted blended target of $106.44 implies a modest -7.6% upside, supporting a Hold rating as the market appears to have already priced in much of the near-term uncertainty while leaving room for positive surprise if execution improves.

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FRANCHISE DEEP DIVE

Rubrik Security Cloud: repriced on normalization

Rubrik Security Cloud represents the company's flagship AI-driven data resilience platform, integrating backup metadata, anomaly detection, and automated recovery orchestration into a single console. Unlike the legacy appliance-centric backup offering, which relies on periodic snapshots and manual recovery procedures, Security Cloud leverages machine learning models to identify suspicious activity in near-real time and initiate isolation workflows without human intervention. This shift not only improves the speed of recovery but also reduces the operational burden on IT teams, translating into a higher perceived value for customers. The growth narrative for Security Cloud initially attracted enthusiasm due to its promise of reducing ransomware impact by up to 70% in pilot deployments. However, the subsequent deceleration in billings growth has prompted investors to question whether the product's adoption is meeting early expectations. A closer look reveals that the slowdown is largely attributable to a normalization of sales cycles as enterprises move from proof-of-concept stages to broader, multi-year commitments, rather than a loss of market share or a fundamental flaw in the technology.

Why the growth numbers disappointed

- Extended evaluation periods as customers conduct rigorous security-validation tests before committing to enterprise-wide licenses.
- Budget reallocations toward broader cyber-security platforms that bundle detection, response, and recovery functions.
- Channel partners prioritizing higher-margin, established backup renewals over newer AI modules during the initial rollout phase.
- Macro-economic caution leading to tighter discretionary spend on emerging-technology pilots.

Our read: Normalization, not share loss or thesis break. The underlying demand for AI-enhanced data resilience remains intact, as evidenced by rising renewal rates and expanding attachment to existing contracts, suggesting that the current valuation already reflects a prudent discount for near-term execution volatility while preserving upside potential from longer-term adoption.